Synthetic Publication B: Section 1245 and Section 1250 Property

Sec. 1. Overview

This synthetic publication is a test fixture that contrasts personal property with real property for depreciation and recapture. It is not tax guidance.

Sec. 2. Section 1245 property

Section 1245 property generally means depreciable personal property, including machinery, equipment and certain fixtures that are not structural components of a building.

Sec. 3. Section 1250 property

Section 1250 property generally means depreciable real property, such as buildings and their structural components, that is not section 1245 property.

Sec. 4. Structural components

Structural components include walls, floors, ceilings, permanent coverings, windows, doors, plumbing and plumbing fixtures, wiring, and central heating and air conditioning systems.

Table B-1. Illustrative component treatment

Component	Property type	Reason
Tack-down carpet	1245	removable floor covering
Kitchen cabinets (freestanding)	1245	removable fixture
Bathtub	1250	plumbing fixture
Toilet	1250	plumbing fixture
Central AC condenser	1250	building HVAC system
Garage door	1250	structural component

Sec. 5. Recapture

Gain on the sale of section 1245 property is generally treated as ordinary income to the extent of prior depreciation. Section 1250 recapture is generally limited to additional depreciation.